

**Court No. - 39****Case :- WRIT - C No. - 54461 of 2016****Petitioner :- M/S Ayesha Steels Pvt. Ltd.****Respondent :- Paschimanchal Vidyut Vitran Nigam Ltd. And 3 Others****Counsel for Petitioner :- Ranjit Saxena****Counsel for Respondent :- C.S.C., Chandan Agarwal****Hon'ble Dilip Gupta, J.****Hon'ble Siddhartha Varma, J.**

M/S Ayesha Steels Pvt. Ltd. has filed this petition to assail the order dated 21 September 2016 passed by the Executive Engineer of the Paschimanchal Vidhyut Vitran Nigam Ltd.<sup>1</sup> by which the claim of the petitioner for payment of interest on account of delayed grant of benefit of Load Factor Rebate has been rejected. The petitioner has also claimed interest, as according to the petitioner, the amount for the Load Factor Rebate was adjusted from April 2015 when such benefit should have been granted each month from April 2011 to September 2014.

The petitioner which is running an Induction Furnace claims to be a consumer having sanctioned load of 2700 KVA. It is stated that under the Tariff Order for the year 2009-10 which was made effective from 31 March 2010, there is a provision for giving rebate if the maximum demand recorded is not above the defined KVAH per KVA. The petitioner had earlier filed Writ C No.27514 of 2012 for a direction upon the respondents to grant the Load Factor Rebate to the petitioner as per the aforesaid Tariff Order dated 31 March 2010 and for a direction upon the respondents to adjust the credit or refund the Load Factor Rebate and to grant the actual credit to him in

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1 'the Nigam'

future bills. This petition was disposed of on 30 May 2012 and the order is reproduced below:-

“Heard Mr. Mayank Agarwal, learned counsel appearing for the petitioner and Mr. Nripendra Mishra, learned counsel appearing for the Corporation.

A Division Bench of this Court has passed the following order on 24.02.2011 in Civil Misc. Writ Petition No. 7390 of 2009 ( M/S Jain Steels Paschimanchal Vidyut Vitran Nigam Ltd. and Others):-

"The issue raised in this petition is similar to that was issue in Civil Misc. Writ Petition No.7764 of 2011. Considering this, this writ petition is also allowed with the direction that the respondents are directed to grant load factor rebate in respect of the petitioner and adjust the amount, which the petitioner is entitled, against pending and future bills, for which the petitioner is entitled within a period of four weeks from today and intimate the same to the petitioner. In case they choose not to adjust against pending or future bills, then to pay the amount claimed to the petitioner within eight weeks from today."

Learned counsel appearing for the parties have jointly contended that this matter is covered by such order. Accordingly, such order will also be applicable in this case.

With the above observation and order, the writ petition is disposed of, however, without imposing any cost.”

It is, therefore, clear that not only had the petitioner not claimed any interest in the petition that was filed by him but the Court also did not grant it any interest.

It is further stated that pursuant to the aforesaid order of the High Court, the petitioner submitted a letter dated 11 June 2012 before the Executive Engineer for adjustment of Load Factor Rebate in the electricity bills. The letter is reproduced below:-

“We are enclosing herewith the stay order of Hon'ble High Court Allahabad against grant of Load Factor Rebate for the year 2011-12 i.e. April 2011 to

March 2012. Hon'ble High Court has passed an order on dated 30.05.2012 for granting the load factor rebate and adjust the amount in our electricity bill.

Therefore, our good self is humbly requested to kindly grant and adjust our load factor rebate amount for the period of April 2011 to March 2012 in our electricity bill for the month of May 2012.

You are further requested to kindly also adjust our security interest of Rs.194400.00/ which TDS is already deposited to your office in the month of May-2012.

Your favourable and prompt action in this regard shall be highly appreciated.”

Subsequently, a meeting was held on 21 April 2015 between the officers of the Nigam and the petitioner and it was resolved that since the amount of Load Factor Rebate that was required to be adjusted was large, Rs.60,000/- would be adjusted in each of the future monthly bills till it was finally adjusted.

After the amount was adjusted, the petitioner submitted an application dated 19 June 2016 to the Executive Engineer raising a claim for payment of interest for the delayed adjustment of Load Factor Rebate. Thereafter, the petitioner filed Writ C No.30966 of 2016 with a prayer that interest should be paid on the delayed payment of Load Factor Rebate from April 2011 to September 2014. This petition was disposed of on 20 July 2016 with an observation that the petitioner should approach the authority concerned and if such an application is filed, an appropriate order shall be passed within six weeks from the date of production of a certified copy of the order.

The application filed by the petitioner has been rejected by the communication dated 21 September 2016. The communication refers to Clause 6.4(c) of the Uttar Pradesh Electricity Supply Code, 2005<sup>2</sup> which

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2 'the Code'

provides that no interest shall be paid on the un-adjusted balance amount lying with the licensee.

Sri Ranjeet Saxena, learned counsel appearing for the petitioner has submitted that Clause 6.4(c) of the Code would not be applicable and, therefore, the respondents are not justified in rejecting the claim of the petitioner. His submission is that the petitioner is entitled to payment of interest since the amount was not adjusted in the bills that had earlier been issued to the petitioner.

Sri Anshul Kumar, holding brief of Sri Chandan Agarwal, learned counsel for the respondents has submitted that it is not open to the petitioner to raise a claim for payment of interest once such a claim had neither made in the earlier Writ Petition No.27514 of 2012 that had been filed by the petitioner nor was it granted to the petitioner. Learned counsel has also referred to the agreement that had been arrived at on 21 April 2015 in a meeting which was held between the officers of the Nigam and the representatives of the petitioner. It is also his submission that the petitioner is not entitled to payment of interest in view of the aforesaid provisions of Clause 6.4(c) of the Code.

We have considered the submissions advanced by learned counsel for the parties.

As noticed above, the Tariff Order dated 31 March 2010 provides in Clause 5, a Load Factor Rebate if the maximum demand recorded is not above the defined KVAH per KVA. In other words, if the conditions are satisfied the consumer is entitled to a certain rebate. This rebate was claimed

by the petitioner in the earlier Writ Petition being Writ C No.27514 of 2012. The petitioner could have claimed payment of interest for not providing the rebate in the bills that had been raised, but such a claim was not made by the petitioner. A perusal of the judgment dated 30 May 2012 rendered in Writ C No.27514 of 2012 also shows that the Court had not directed for payment of interest on the delayed payment. What is also important to the notice is that even in the subsequent application dated 7 June 2012 which the petitioner had submitted before the Executive Engineer for compliance of the order passed by the High Court for adjustment of Load Factor Rebate in the electricity bills, such a claim for payment of interest was not made by the petitioner. All that the petitioner requested in the said application was for adjustment of the Load Factor Rebate in the electricity bill for the month of May 2012. The amount was large and, therefore, in the meeting held with the representatives of the petitioner and the officers of the Nigam on 21 April 2015, it was resolved that the rebate which was to be granted to the petitioner would be adjusted in the future bills at the rate of Rs.60,000/- per month till it was finally adjusted. The petitioner acted on the aforesaid resolution and, accordingly, Rs.60,000/- was adjusted in each of the future monthly bills issued to the petitioner.

It is after such adjustment had been made that the petitioner submitted an application dated 10 June 2016 for payment of interest and subsequently filed Writ C No. 30966 of 2016 for payment of interest. The Court while disposing of the writ petition on 20 July 2016 directed that the representation filed by the petitioner shall be decided. This representation has been rejected

by the department for the reason that under Clause 6.4(c) of the Code, no interest can be paid and adjusted in the balance lying with the licensee.

The facts narrated above alone, in our opinion, are sufficient to hold that the petitioner is not entitled to any interest on the delayed adjustment of the Load Factor Rebate amount. It is, therefore, not necessary to examine as to whether Clause 6.4(c) of the Code would be applicable in the present case or not and we would leave it to be decided in an appropriate case.

The contention of learned counsel for the petitioner that any undue pressure was exerted upon the petitioner for entering into an agreement on 21 May 2012 when the officers of the Nigam held a meeting with the representatives of the petitioner cannot also be accepted. The petitioner was aware of the order of the High Court and even in the application that had been filed by the petitioner before the meeting was held, the petitioner was not claimed any interest and had only made a request for adjustment of the Load Factor Rebate amount in the bills to be issued for the month of May 2012. It, therefore, does not lie in the mouth of the petitioner to now contend that any undue pressure was exerted upon the petitioner for agreeing upon the adjustment of the amount in the future bills.

There is, therefore, no reason to grant any relief to the petitioner. The petitioner is, therefore, not entitled to grant any of the reliefs claimed in this petition.

The writ petition is, accordingly, dismissed.

**Order Date :- 17.11.2016/NSC**

(Siddhartha Varma,J.)

(Dilip Gupta, J.)